

thirty years from now, you can bet it will be worth a heck of a lot more than it is today, and it could be all you need to get rich.

Buy what you can afford now. If you need more capital to get involved, you can partner with people you trust and know well. The only way to get in trouble with real estate is to overextend yourself or have to sell in a down market. If you heed my earlier advice and manage your money properly, the likelihood of this happening will be extremely slim and likely none. As the saying goes, “Don’t wait to buy real estate, buy real estate and wait.”

Since I gave you a previous example involving my in-laws, it’s only fair I give you an example involving my own parents. My parents weren’t poor, but they barely made the middle class. My dad worked extremely hard and my mom wasn’t physically well, and so she stayed home with us kids. My dad was a carpenter and recognized that all the builders who employed him were developing land they had purchased years and years ago. He also recognized they were all fairly rich. My parents too saved their pennies and eventually had enough to buy a three-acre parcel of land about twenty miles outside the city in which they lived. It cost them \$60,000. Ten years later, a developer decided he wanted to build a strip mall on that property. My parents sold for \$600,000. Less their original investment, that’s an average earnings of \$54,000 a year from their investment, while my dad earned only about \$15,000 to a high of \$20,000 a year from his job. Of course they are retired now and live quite comfortably, but I guarantee that without the purchase and sale of this property, they would have been living by the skin of their teeth. Thank goodness my father recognized the power of investment and especially the value of investing in real estate. Now you know why I collect land.

While poor people see a dollar as a dollar to trade for something they want right now, rich people see every dollar as a “seed” that can be planted to earn a hundred more dollars, which can then be replanted to earn a thousand more dollars. Think about it. Every dollar you spend today may actually cost you a hundred dollars tomorrow. Personally, I consider each of my dollars to be investment “soldiers,” and their mission is “freedom.” Needless to say, I’m careful with my “freedom fighters” and don’t get rid of them quickly or easily.

WEALTH PRINCIPLE: